

C214

Financial Management

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A manufacturer is considering a \$100,000 packaging machine that would generate \$45,000 in cash flow at the end of each of the next three years. Its cost of capital is 10%. The proposal came from the operations vice president, who has been with the company 20 years, and the company's stock trades at 18 times earnings. What is the project's NPV?

- A. About –\$11,908
- B. About \$111,908
- C. About \$11,908
- D. \$35,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

2. [TRANSFER — reversed stem / different variable]

A project's future cash flows have a present value of \$260,000 at the firm's cost of capital, and its NPV is \$35,000. What was the initial investment?

- A. \$260,000
- B. \$225,000
- C. \$35,000
- D. \$295,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

3.

A regional hospital system is evaluating a new outpatient center. The project's IRR is 9%. The system's cost of capital is 11%, and its local health-care market is growing about 6% a year. The CEO strongly supports the project. What should the finance team recommend based on IRR?

- A. Reject; the IRR is below the cost of capital.
- B. Accept; the IRR beats the 6% market growth rate.
- C. Accept; the IRR is positive.
- D. It cannot be decided without also calculating payback.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

4.

A company headquartered in Charlotte finances itself with 60% equity and 40% debt. Its cost of equity is 12%, its bonds are rated BBB and yield 8% before taxes, and its tax rate is 25%. What is its weighted average cost of capital?

- A. 10.0%
- B. 9.6%
- C. 10.4%
- D. 8.4%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

5. [TRANSFER — reversed stem / different variable]

A firm's WACC is 9%. It is financed 50% with debt and 50% with equity, and its after-tax cost of debt is 5%. What is its cost of equity?

- A. 7%
- B. 13%
- C. 9%
- D. 4%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

6.

A print shop buys a \$90,000 press from a supplier in Japan. It expects cash inflows of \$30,000 in year 1, \$40,000 in year 2 and \$50,000 in year 3. The shop uses a 10% discount rate for NPV analysis. What is the payback period?

- A. 3 years
- B. 1.8 years
- C. 2.25 years
- D. 2.4 years

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

7.

A furniture wholesaler with annual sales of \$12 million holds inventory for 45 days, collects from customers in 30 days and pays its suppliers in 25 days. It switched banks this year to get a lower loan rate. What is its cash conversion cycle?

- A. 75 days
- B. 100 days
- C. 40 days
- D. 50 days

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

8. [TRANSFER — reversed stem / different variable]

A company's cash conversion cycle is 40 days. Its days inventory outstanding is 50 and its days payables outstanding is 35. What is its days sales outstanding?

- A. 25 days
- B. 15 days
- C. 40 days
- D. 55 days

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

9.

An electronics distributor that grew sales 20% last year and opened a new warehouse in Reno reports cash of \$80,000, accounts receivable of \$120,000, inventory of \$300,000 and current liabilities of \$250,000. What is its quick ratio?

- A. 2.00
- B. 1.20
- C. 0.80
- D. 0.32

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

10.

A company will receive a \$50,000 payment in five years. The payment is guaranteed by a highly rated insurer, and the company's controller has worked there 15 years. Using a 6% annual rate, compounded annually, what is the payment worth today?

- A.** About \$47,170
- B.** About \$66,911
- C.** \$35,000
- D.** About \$37,363

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

11. [TRANSFER — reversed stem / different variable]

A firm deposits \$20,000 today at 5% interest, compounded annually. What will it be worth in three years?

- A.** About \$17,277
- B.** \$23,000.00
- C.** \$23,152.50
- D.** \$21,000.00

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

12.

A food company is deciding whether to launch a new snack line. It has already spent \$250,000 on market research by a well-known consulting firm. The line would use a warehouse the company owns, which it could otherwise lease to another firm for \$40,000 a year. How should these two items be treated in the capital budgeting analysis?

- A.** Exclude the \$250,000 research and include the \$40,000 lost lease income as a cost.
- B.** Include the research and exclude the lost lease income.
- C.** Exclude both, since neither requires new cash.
- D.** Include both as costs of the project.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer C Concept 1

A manufacturer is considering a \$100,000 packaging machine that would generate \$45,000 in cash flow at the end of each of the next three years. Its cost of capital is 10%. ~~The proposal came from the operations vice president, who has been with the company 20 years, and the company's stock trades at 18 times earnings.~~ What is the project's NPV?

Target word: NPV **Decides:** Discount each \$45,000 at 10% and subtract \$100,000.

A	Inverted operation	Right size, wrong sign: investment minus PV instead of PV minus investment.
B	Adjacent category	That is the present value of the inflows, before subtracting the investment.
C	Correct	$PV = \$40,909 + \$37,190 + \$33,809 = \$111,908$; $NPV = \$111,908 - \$100,000$.
D	Dropped element	$\$135,000 - \$100,000$ drops the discounting.

2. Answer B Concept 1 · transfer

A project's future cash flows have a present value of \$260,000 at the firm's cost of capital, and its NPV is \$35,000. What was the initial investment?

Target word: solve for the investment **Decides:** $\text{Investment} = \text{PV of inflows} - \text{NPV}$.

A	Wrong stem number	That is the present value of the inflows.
B	Correct	$\$260,000 - \$35,000 = \$225,000$.
C	Adjacent category	That is the NPV.
D	Inverted operation	Adds NPV instead of subtracting it.

3. Answer A Concept 2

A regional hospital system is evaluating a new outpatient center. The project's IRR is 9%. The system's cost of capital is 11%, ~~and its local health-care market is growing about 6% a year. The CEO strongly supports the project.~~ What should the finance team recommend based on IRR?

Target word: accept or reject **Decides:** IRR 9% is below the 11% cost of capital.

A	Correct	A return below the cost of funds destroys value.
B	Wrong stem number	Compares IRR with market growth instead of the cost of capital.
C	Dropped element	Drops the comparison with the cost of capital.
D	Confusion set	Payback is a separate measure; the IRR rule already gives the answer.

4. Answer B Concept 3

A company headquartered in Charlotte finances itself with 60% equity and 40% debt. Its cost of equity is 12%, its bonds are rated BBB and yield 8% before taxes, and its tax rate is 25%. What is its weighted average cost of capital?

Target word: WACC **Decides:** $\text{After-tax cost of debt} = 8\% \times (1 - 0.25) = 6\%$.

A	Confusion set	A simple average of 12% and 8% ignores both weights and taxes.
B	Correct	$0.60 \times 12\% + 0.40 \times 6\% = 7.2\% + 2.4\% = 9.6\%$.
C	Dropped element	$0.60 \times 12\% + 0.40 \times 8\%$ drops the tax shield on debt.
D	Inverted operation	Swaps the weights: $0.40 \times 12\% + 0.60 \times 6\%$.

5. Answer B Concept 3 • transfer

A firm's WACC is 9%. It is financed 50% with debt and 50% with equity, and its after-tax cost of debt is 5%. What is its cost of equity?

Target word: solve for cost of equity **Decides:** $9\% = 0.5 \times 5\% + 0.5 \times \text{Re}$.

A	Adjacent category	The average of 9% and 5%, not the missing component.
B	Correct	$0.5 \times \text{Re} = 9\% - 2.5\% = 6.5\%$, so $\text{Re} = 13\%$.
C	Wrong stem number	That is the WACC.
D	Inverted operation	$9\% - 5\%$ subtracts rates instead of solving the weighted equation.

6. Answer D Concept 4

A print shop buys a \$90,000 press ~~from a supplier in Japan~~. It expects cash inflows of \$30,000 in year 1, \$40,000 in year 2 and \$50,000 in year 3. ~~The shop uses a 10% discount rate for NPV analysis.~~ What is the payback period?

Target word: payback period **Decides:** Cumulative inflows: \$30,000, \$70,000, then \$20,000 of year 3's \$50,000.

A	Dropped element	Rounds up and drops the partial year.
B	Wrong stem number	$\$90,000 / \$50,000$ uses year 3's inflow alone.
C	Confusion set	$\$90,000 / \$40,000$ average inflow; works only for even cash flows.
D	Correct	Two full years recover \$70,000; the remaining $\$20,000 / \$50,000 = 0.4$ year.

7. Answer D Concept 5

A furniture wholesaler ~~with annual sales of \$12 million~~ holds inventory for 45 days, collects from customers in 30 days and pays its suppliers in 25 days. ~~It switched banks this year to get a lower loan rate.~~ What is its cash conversion cycle?

Target word: CCC in days **Decides:** $\text{CCC} = \text{DIO} + \text{DSO} - \text{DPO}$.

A	Dropped element	Leaves out the payables period.
B	Inverted operation	Adds payables days instead of subtracting them.
C	Confusion set	$45 - 30 + 25$ mixes up which terms are added and subtracted.
D	Correct	$45 + 30 - 25 = 50$.

8. Answer A Concept 5 • transfer

A company's cash conversion cycle is 40 days. Its days inventory outstanding is 50 and its days payables outstanding is 35. What is its days sales outstanding?

Target word: solve for DSO **Decides:** $40 = 50 + \text{DSO} - 35$.

A	Correct	$\text{DSO} = 40 - 50 + 35 = 25$.
B	Dropped element	$50 - 35$ drops the CCC from the equation.
C	Wrong stem number	That is the CCC.
D	Inverted operation	$40 + 50 - 35$ flips the sign on inventory days.

9. Answer C Concept 6

An electronics distributor ~~that grew sales 20% last year and opened a new warehouse in Reno~~ reports cash of \$80,000, accounts receivable of \$120,000, inventory of \$300,000 and current liabilities of \$250,000. What is its quick ratio?

Target word: quick ratio **Decides:** Exclude inventory: $(\$80,000 + \$120,000) / \$250,000$.

A	Adjacent category	$\$500,000 / \$250,000$ is the current ratio, which includes inventory.
B	Inverted operation	$\$300,000 / \$250,000$ uses only the inventory, the one item the quick ratio removes.
C	Correct	$\$200,000 / \$250,000 = 0.80$.
D	Dropped element	$\$80,000 / \$250,000$ drops receivables; that is the cash ratio.

10. Answer D Concept 7

A company will receive a \$50,000 payment in five years. ~~The payment is guaranteed by a highly rated insurer, and the company's controller has worked there 15 years.~~ Using a 6% annual rate, compounded annually, what is the payment worth today?

Target word: present value **Decides:** $PV = \$50,000 / 1.06^5$.

A	Dropped element	Discounts for only one year.
B	Inverted operation	Compounds forward $(\$50,000 \times 1.06^5)$ instead of discounting.
C	Confusion set	Takes off 30% simple interest instead of compounding.
D	Correct	$\$50,000 / 1.3382 = \$37,363$.

11. Answer C Concept 7 • transfer

A firm deposits \$20,000 today at 5% interest, compounded annually. What will it be worth in three years?

Target word: future value **Decides:** $FV = \$20,000 \times 1.05^3$.

A	Inverted operation	Discounts instead of compounding.
B	Confusion set	Simple interest ignores interest on interest.
C	Correct	$\$20,000 \times 1.157625 = \$23,152.50$.
D	Dropped element	Compounds for one year only.

12. Answer A Concept 8

A food company is deciding whether to launch a new snack line. It has already spent \$250,000 on market research ~~by a well-known consulting firm~~. The line would use a warehouse the company owns, which it could otherwise lease to another firm for \$40,000 a year. How should these two items be treated in the capital budgeting analysis?

Target word: which costs are relevant **Decides:** Research is already spent (sunk); lost lease income is an opportunity cost.

A	Correct	Sunk costs are ignored; income given up is an incremental cost.
B	Inverted operation	Exactly backward on both items.
C	Adjacent category	Lost lease income is a real cash flow given up.
D	Confusion set	The research is spent whether or not the line launches.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	9	
Wrong stem number	A figure copied from the prompt that is not the answer.	5	
Adjacent category	The right idea in the wrong bucket.	5	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	10	
Absolute language	Always, never, guarantee — where judgment applies.	0	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	0	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Net present value	NPV = present value of future cash flows – initial investment; accept when NPV > 0.	Adding up undiscounted cash flows, or forgetting to subtract the investment.	An up-front cost, yearly cash flows and a discount rate.
2	IRR vs. the hurdle rate	Accept a project when its IRR exceeds the cost of capital; reject when it falls below.	Accepting any positive IRR, or comparing IRR with an unrelated rate.	An IRR and a cost of capital (or required return) side by side.
3	Weighted average cost of capital	WACC = weight of equity × cost of equity + weight of debt × pre-tax cost of debt × (1 – tax rate).	Using the pre-tax cost of debt or a simple average.	A capital mix, a cost of debt, a cost of equity and a tax rate.
4	Payback period	Payback = years until cumulative cash inflows recover the investment, with a fraction for the final partial year; it ignores time value and later cash flows.	Dividing by an average or rounding up to a whole year.	Uneven yearly inflows and “how long to recover.”
5	Cash conversion cycle	CCC = days inventory outstanding + days sales outstanding – days payables outstanding.	Adding payables days instead of subtracting them.	DIO, DSO and DPO given together.
6	Quick ratio	Quick ratio = (cash + marketable securities + receivables) / current liabilities; inventory is excluded.	Leaving inventory in, which gives the current ratio.	“Quick” or “acid-test” with inventory on the balance sheet.
7	Time value of money	$PV = FV / (1 + r)^n$ and $FV = PV \times (1 + r)^n$; money today is worth more than the same amount later.	Compounding when you should discount, or using simple interest.	A sum at one date and a question about its value at another date.
8	Relevant cash flows	Capital budgeting counts incremental future cash flows, including opportunity costs, and ignores sunk costs.	Including money already spent or ignoring income given up.	Money already spent and an asset with another possible use.

Course scope (public description): This course covers practical approaches to analysis and decision-making in the administration of corporate funds, including capital budgeting, working capital management, and cost of capital. Topics include financial planning, management of working capital, analysis of investment opportunities, sources of long-term financing, government regulations, and global influences. This course will improve students’ ability to interpret financial statements and manage corporate finances.